lakh crore at the end of March 2019, whereas SBI alone had a business of Rs 52.05 lakh crore, Punjab National Bank Rs 17.94 lakh crore, Bank of Baroda Rs 16.13 lakh crore and Canara Bank Rs 15.20 lakh crore. Some of these banks are really pygmies (Punjab and Sind Bank with a business size of Rs 1.71 lakh crore and Bank of Maharashtra with Rs 2.34 lakh crore).

PSBs have the same owner: the Government of India. They have the same mindset and policies, similarly recruited personnel, and the same incentives and disincentives. When two or more PSBs are merged into one, practically nothing changes. There were some expected gains in terms of saving expenditure by rationalizing branches and staff as many PSBs had branches close to each other. However, under union pressure or otherwise, the government has not taken up rationalization measures seriously. As a result, except the fact that the number of PSBs has come down from twenty to twelve, there is not much change in their functioning or record. This is reflected in their credit and deposit performance in 2020–21.